

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-05

HAPAG-LLOYD AG and HAPAG-LLOYD (AMERICA)
RESPONDENTS AND THIRD-PARTY COMPLAINT

v.

MAHER TERMINALS, LLC, GCT NEW YORK LP AND GCT BAYONNE LP,
THIRD-PARTY RESPONDENTS.

THIRD-PARTY COMPLAINT

INTRODUCTION

Within the intricate web of logistical systems, the marine terminal operator stands out as the most powerful entity controlling the distribution of space for both loaded and empty containers. The marine terminal operator's operational setup and decisions either ensures seamless operations or leads to supply chain bottlenecks. Being at the helm, Maher Terminals, LLC, GCT New York LP and GCT Bayonne LP (the "Third-Party Respondents") not only had the capability to prevent disruptions, but also the means to create them. The Shipping Act requires the Third-Party Respondents to act justly and reasonably when receiving, handling, storing, or delivering property. The Shipping Act further required the Third-Party Respondents to ensure that their practices receiving, handling, storing, or delivering property were just and reasonable by ensuring such practices do not lead to widespread logistical disruptions. The Shipping Act finally required the Third-Party Respondents to ensure that their practices did not lead to the assessment of unjust or



unreasonable demurrage charges under 46 CFR §545.5. The Third-Party Respondents violated these duties and are, thus, liable for these violations.

SPECIFIC ALLEGATIONS

1. Respondents/Third-Party Complainants Hapag-Lloyd and Hapag-Lloyd (America) LLC (“Third-Party Complainant” or respectively “Hapag AG” and “Hapag America” (collectively “Hapag”) by their undersigned counsel, bring this Third-Party Complaint against Maher Terminals, LLC (“Maher”), GCT New York LP and GCT Bayonne LP (respectively “GCT New York” and “GCT Bayonne” (collectively “GCT”)) (collectively “Third-Party Respondents”) based on the actions of Third-Party Respondents that led to Rahal International, Inc. (“Complainant” or “Rahal”) filing a Federal Maritime Commission (“FMC”) Complaint (the “Initial Complaint”) against Hapag, alleging violations of the Shipping Act of 1984, Pub. L. No. 98-237, 98 Stat. 67 (1984), as amended by the Ocean Shipping Reform Act of 2022, 46 U.S.C. § 40101, *et. seq.* (“OSRA”).

2. The Initial Complaint alleges that Hapag is liable to Complainant for storage and demurrage charges, which charges Complainant alleges constitute a violation of the Shipping Act. Because the charges in question were assessed, billed, and collected by Third-Party Respondents, without involvement by or approval of Hapag, and because Third-Party Respondents had exclusive control and operation of the underlying containers, in the event Hapag is found liable to the Complainant, Third-Party Respondents is liable to Hapag.

I. COMPLAINANT

3. Complainant is an independent importer and broker of high-quality fruit juices, concentrates, and purees in the United States, and is organized and existing under the laws of the

State of Delaware. Its principal place of business is located at 915 Harger Road, Oak Brook, Illinois 60523. Complainant maintains an email address of info@rahalintl.com.

II. RESPONDENTS/THIRD-PARTY COMPLAINANTS

4. Respondents and Third-Party Complainant Hapag-Lloyd AG is a global ocean carrier company based in Germany. It has its headquarters located at Ballindam 25, D-20095 Hamburg, Germany.

5. Respondents and Third-Party Complainant Hapag-Lloyd (America), LLC is a United States subsidiary and agent of Hapag AG. Its office is located at 3 Ravinia Drive NE, Suite 1600, Atlanta, Georgia 30346.

6. Respondent Hapag-Lloyd USA, LLC¹ is a United States subsidiary of Hapag AG. Its office is located at 3 Ravinia Drive NE, Suite 1650, Atlanta, Georgia 30346.

III. THIRD PARTY RESPONDENTS

7. Third-Party Respondent Maher is a marine terminal operator located at 1210 Corbin Street, Elizabeth, New Jersey 07201.

8. Third-Party Respondents GCT is a marine terminal operator located at 300 Western Avenue, Staten Island, New York 10303.

IV. JURISDICTION

9. The FMC has subject-matter jurisdiction over this Third-Party Complaint pursuant to the Shipping Act of 1984, as amended by the Ocean Shipping Reform Acts of 1998 and 2022, 46 U.S.C. § 40101, et seq., 46 C.F.R. 502.12, and 46 C.F.R. § 502.62(b)(4).

10. Pursuant to 48 U.S.C. § 41102(c), the FMC's jurisdiction extends to marine terminal operators related to the establishment, observance, and enforcement of just and

¹ While Hapag-Lloyd USA, LLC is a current Respondent in this action, they are not a Third-Complainant in this Third-Party Complaint.

regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

11. The FMC has personal jurisdiction over the Third-Party Respondents because the Third-Party Respondents violated 46 U.S.C. § 41102(c) of the Shipping Act and the claims against the Third-Party Respondents arise out of a common nucleus of operative facts with those against Hapag.

12. Hapag-Lloyd AG was the vessel-operating common carrier (“VOCC”) for the transportations at issue and contracted with Third-Party Respondents as marine terminal operators to provide terminal facilities for the property. The FMC has jurisdiction to adjudicate this matter under 46 U.S.C. § 41102(c) and 46 C.F.R. § 545 (the “Interpretive Rule”).

V. INITIAL COMPLAINT AND ANSWER

13. Complainant filed the Initial Complaint, attached hereto as **Exhibit “A”**, on June 30, 2023.

14. The Initial Complaint alleges that Hapag agreed or contracted with one or more marine terminal operators to provide terminate facilities for property transported to the Port of New York and New Jersey.

15. Hapag filed a Motion for Extension of Time to File Answer on July 21, 2023.

16. The FMC granted the Motion on July 25, 2023.

17. Hapag filed an Answer to the Initial Complaint, attached hereto as **Exhibit “B”**, on August 1, 2023.

18. Hapag denied that it did not extend free time associated with the containers and that Hapag was unable to tender delivery to Complainant.

19. Hapag did not assess charges against the Complainant for the Complainant's property transported by Hapag to the Port of New York and New Jersey during the period of time when Complainant was unable to remove its cargo and denied that Hapag assessed charges that were excessive.

20. Hapag did not assess charges against Complainant for Complainant's property transported by Hapag to the Port of New York and New Jersey and denied that Hapag assessed charges that were inconsistent and/or did not comply with all applicable provisions and regulations.

21. Hapag did not invoice Complainant for demurrage and detention charges and denied that the detention and demurrage charges assessed by Hapag failed to comply with the Shipping Act.

22. Hapag did not invoice Complainant for demurrage and detention charges and denied that Hapag invoiced Complainant for detention and demurrage charges that failed to comply with all provisions of part 545 of title 46, Code of Federal Regulations and applicable provisions and regulations, including the FMC's Interpretive Rule on Demurrage and Detention Under the Shipping Act.

23. Hapag admitted that the containers at issue were seven full container loads of organic apple juice Hapag carried under bills of lading numbered HLCUEUR2203EZGCO and HLCUIZ12202BJZR5.

24. Hapag admitted that the containers were received on May 15-16, 2022, and were available for pick up on June 8, 9, 14, 15, 2022, but denied that the containers were unavailable for pick up on other dates after May 15-16, 2022, and before June 8, 2022, and further denied that the containers were unavailable due to logistical paralysis caused by Hapag.

VI. FACTUAL ALLEGATIONS

25. Third-Party Respondents were marine terminal operators during the period alleged in the Initial Complaint.

26. Third-Party Respondents assessed, billed, and collected the charges in dispute under the Initial Complaint.

27. The allegations made against Hapag in the Initial Complaint should be addressed against Third-Party Respondents as marine terminal operators because Third-Party Respondents assessed, billed, and collected the charges in dispute.

28. Even so, Third-Party Respondents agreed to, and continues to be a party to, an underlying terminal services agreement.

29. Third-Party Respondents had absolute control over the facility where it stored the containers that are at issue (the “Containers”) and to determine the placement and movement of the Containers. *See id.* at ¶ 3.

30. As such, Third-Party Respondents had absolute control over Complainant’s ability to access the Containers and control over the billing and collection against Complainant.

31. The underlying charges were billed in accordance with Third-Party Respondents’ terminal tariff (the “Terminal Tariff”). *Tariffs*, The Port Authority of New York and New Jersey, <https://www.panynj.gov/port/en/doing-business/tariffs.html> (last visited Aug. 25, 2023).

32. Specifically, the Terminal Tariff stated that “[e]xcept as otherwise provided, Demurrage and other charges specified herein, shall be for the account of the cargo”, thereby establishing that Third-Party Respondents were collecting on their own behalf and under their control.

33. In accordance with the foregoing, Third-Party Respondents exclusively handled the pricing and invoicing, and independently charged Complainant \$298,911.16 for detention and/or demurrage for containers unremovable from the Port of New York and New Jersey.

34. The Third-Party Respondents independently charged the Complainant \$298,911.16 for detention and/or demurrage for containers unremovable from the Port of New York and New Jersey.

35. Complainant paid the \$298,911.16, including for demurrage, for the Containers directly to Third-Party Respondents.

36. Out of the \$298,911.16, GCT and Maher remitted \$7,653.60 and \$47,895.80, respectively, to Hapag.

37. Third-Party Respondents independently caused the Complainant to incur \$154,909.26 for additional, extra, and/or excessive haulage fees by drayage providers and \$63,013.30 for extra expenses as alleged in the Initial Complaint.

VII. CAUSATION AND INJURY TO COMPLAINANT

38. Third-Party Respondents maintained full control of the Containers and the assessment, billing, and collection of the charges at issue in the Initial Complaint.

39. Third-Party Respondents violated 46 U.S.C. § 41102(c), by failing to establish, observe, and enforce just and reasonable regulations and practices related to or connected with receiving, handling, storing, or delivering property by charging Complainant for storage of the Containers.

40. Thus, Third-Party Respondents, not Hapag, are liable for the alleged violations of the Shipping Act.

VIII. PLACE OF HEARING

41. Hapag requests a hearing on this matter, and further requests that the hearing be held at the Federal Maritime Commission, 800 N. Capitol St., NW, Washington, D.C. 20573-0001.

IX. PRAYER FOR RELIEF

WHEREFORE, Hapag respectfully requests that Third-Party Respondents be required to answer the charges in this Third-Party Complaint, and in the event that the FMC finds Hapag liable under the Initial Complaint, the FMC shall issue an order:

1) Requiring Third-Party Respondents to pay for all damages assessed as a result of the Initial Complaint, as well as Hapag's attorneys' fees and costs pursuant to 46 U.S.C. § 41305.

DATE: September 6, 2023

Respectfully Submitted,

/s/ Jake Evans

Jake Evans

Timothy McLister

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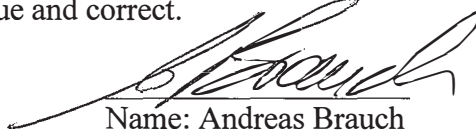
Timothy.McLister@gtlaw.com

*Attorneys for Hapag-Lloyd AG,
Hapag-Lloyd (America) LLC, and
Hapag-Lloyd USA, LLC*

VERIFICATION

I, Andreas Brauch, am the Senior Vice President, Business Admin. & Finance of Hapag-Lloyd (America), LLC and hereby declare and attest under penalty and perjury that I have read the foregoing Verified Third-Party Complaint and believe, to the best of my knowledge, information, and belief, that the facts stated therein are true and correct.

DATE: August 25, 2023

A handwritten signature in black ink, appearing to read 'A. Brauch', written over a horizontal line.

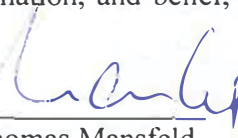
Name: Andreas Brauch

Title: SVP Business Admin. & Finance

VERIFICATION

I, Thomas Mansfeld, am the General Counsel of Hapag-Lloyd AG and hereby declare and attest under penalty and perjury that I have read the foregoing Verified Third-Party Complaint and believe, to the best of my knowledge, information, and belief, that the facts stated therein are true and correct.

DATE: August 25, 2023



Name: Thomas Mansfeld
Title: General Counsel

EXHIBIT A

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-05

RAHAL INTERNATIONAL, INC.,
Complainant,

v.

HAPAG-LLOYD AG,
HAPAG-LLOYD (AMERICA) LLC,
HAPAG-LLOYD USA, LLC
Respondents.



VERIFIED COMPLAINT

1. Complainant Rahal International, Inc. (“Rahal”), by its undersigned attorneys, respectfully files this Verified Complaint against Respondents Hapag-Lloyd AG, Hapag-Lloyd (America), LLC, and Hapag-Lloyd USA, LLC (collectively “Hapag”) based upon the Respondents’ violations of the Shipping Act of 1984, Pub. L. No. 98-237, 98 Stat. 67 (1984), as amended by the Ocean Shipping Reform Act of 2022, Pub. L. No. 117-146, 136 Stat. 1272, 46 U.S.C.S. §§ 40101 to 46108 (LexisNexis 2023) (collectively the “Shipping Act”), as alleged herein.

I
COMPLAINANT

2. Complainant Rahal International, Inc., an independent importer and broker of high-quality fruit juices, concentrates, and purees in the United States, is a business corporation duly organized and existing under and by virtue of the laws of the State of Delaware, with its principal place of business located at 915 Harger Road, Oak Brook, Illinois 60523. Complainant Rahal maintains an email address of info@rahalintl.com.

II **RESPONDENTS**

3. Respondent Hapag-Lloyd AG, a global ocean common carrier based in Germany, is a business corporation with its principal place of business located at Ballindamm 25, D-20095 Hamburg, Germany. Upon information and belief, Hapag-Lloyd AG maintains an email address of presse@hlag.com.

4. Respondent Hapag-Lloyd AG is and was at all times pertinent to this Complaint an ocean common carrier within the meaning of the Shipping Act, 46 U.S.C.S. § 40102(18), subject to regulation by the Federal Maritime Commission.

5. Respondent Hapag-Lloyd AG is and was at all times pertinent to this Complaint a signatory to a Consolidated Chassis Management Pool Agreement.

6. Respondent Hapag-Lloyd AG is and was at all times pertinent to this Complaint a signatory to a Consolidated Chassis Management Pool Agreement applicable to the Port of New York and New Jersey.

7. At all times pertinent to this Complaint, Respondent Hapag-Lloyd AG agreed or contracted with, or otherwise engaged, one or more marine terminal operators to provide terminal facilities for property transported to the Port of New York and New Jersey. Such marine terminal operators are agents of Respondent Hapag-Lloyd AG.

8. Respondent Hapag-Lloyd (America), LLC is a United States limited liability company and subsidiary of Hapag-Lloyd AG, with its principal office located at 3 Ravinia Drive NE, Suite 1600, Atlanta, Georgia 30346. Upon information and belief, Respondent Hapag-Lloyd (America), LLC maintains an email address, but which is unknown to Complainant.

9. Respondent Hapag-Lloyd (America), LLC is and was at all times pertinent to this Complaint an agent of Hapag-Lloyd AG.

10. Respondent Hapag-Lloyd (America), LLC is and was at all times pertinent to this Complaint a designated agent of Hapag-Lloyd AG in the United States and subject to regulation by the Federal Maritime Commission.

11. At all times pertinent to this Complaint, Respondent Hapag-Lloyd (America), LLC agreed or contracted with, or otherwise engaged, one or more marine terminal operators to provide terminal facilities for property transported to the Port of New York and New Jersey. Such marine terminal operators are agents of Respondent Hapag-Lloyd (America), LLC.

12. At all times pertinent to this Complaint, Respondent Hapag-Lloyd (America), LLC agreed or contracted with, or otherwise engaged, on behalf of Hapag-Lloyd AG, one or more marine terminal operators to provide terminal facilities for property Hapag transported to the Port of New York and New Jersey. Such marine terminal operators are agents of Hapag-Lloyd AG.

13. Respondent Hapag-Lloyd USA, LLC is a United States limited liability company and subsidiary of Hapag-Lloyd AG, with its principal office located at 399 Hoes Lane #101, Piscataway, New Jersey 08854. Upon information and belief, Respondent Hapag-Lloyd USA, LLC maintains an email address, but which is unknown to Complainant.

14. Respondent Hapag-Lloyd USA, LLC is and was at all times pertinent to this Complaint an agent of Hapag-Lloyd AG.

15. Respondent Hapag-Lloyd USA, LLC is and was at all times pertinent to this Complaint a designated agent of Hapag-Lloyd AG in the United States and subject to regulation by the Federal Maritime Commission.

16. Respondent Hapag-Lloyd USA, LLC is and was at all times pertinent to this Complaint an ocean common carrier within the meaning of the Shipping Act, 46 U.S.C.S. § 40102(18), subject to regulation by the Federal Maritime Commission.

17. Respondent Hapag-Lloyd USA, LLC is and was at all times pertinent to this Complaint a signatory to a Consolidated Chassis Management Pool Agreement.

18. Respondent Hapag-Lloyd USA, LLC is and was at all times pertinent to this Complaint a signatory to a Consolidated Chassis Management Pool Agreement applicable to the Port of New York and New Jersey.

19. At all times pertinent to this Complaint, Respondent Hapag-Lloyd USA, LLC agreed or contracted with, or otherwise engaged, one or more marine terminal operators to provide terminal facilities for property transported to the Port of New York and New Jersey. Such marine terminal operators are agents of Respondent Hapag-Lloyd USA, LLC.

20. At all times pertinent to this Complaint, Respondent Hapag-Lloyd USA, LLC agreed or contracted with, or otherwise engaged, on behalf of Hapag-Lloyd AG, one or more marine terminal operators to provide terminal facilities for property Hapag transported to the Port of New York and New Jersey. Such marine terminal operators are agents of Hapag-Lloyd AG.

III

JURISDICTION & LEGAL AUTHORITY

21. Rahal commences this action and files this Complaint pursuant to the Shipping Act, including 46 U.S.C.S. §§ 41301(a).

22. The Federal Maritime Commission has subject-matter jurisdiction over this dispute pursuant to the Shipping Act, 46 U.S.C.S. § 40101, *et seq.*

23. The Federal Maritime Commission has jurisdiction over Hapag-Lloyd AG as a “common carrier” within the meaning of the Shipping Act, 46 U.S.C.S. § 40102(7), and “ocean common carrier” within the meaning of the Shipping Act, 46 U.S.C.S. § 40102(18).

24. The Federal Maritime Commission has jurisdiction over Hapag-Lloyd USA, LLC as a “common carrier” within the meaning of the Shipping Act, 46 U.S.C.S. § 40102(7), and “ocean common carrier” within the meaning of the Shipping Act, 46 U.S.C.S. § 40102(18).

25. The claims herein against Hapag-Lloyd (America), LLC and Hapag-Lloyd USA, LLC arise out of a common nucleus of operative facts with those against Hapag-Lloyd AG, over which the Federal Maritime Commission has jurisdiction as a common carrier and ocean common carrier.

26. Hapag’s actions alleged herein constitute failures by Hapag “to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property” of Rahal, which proximately caused Rahal’s loss, in violation of the Shipping Act, including 46 U.S.C.S. § 41102(c).

27. As alleged herein and in violation of the Shipping Act, including 46 U.S.C.S. §§ 41102(c) and 41104(a)(14), Hapag failed to extend free time for Rahal’s

property transported by Hapag to the Port of New York and New Jersey for the duration of Hapag's disability and/or inability to tender Rahal's cargo for delivery.

28. As alleged herein and in violation of the Shipping Act, including 46 U.S.C.S. §§ 41102(c) and 41104(a)(14), Hapag assessed excessive charges against Rahal for Rahal's property transported by Hapag to the Port of New York and New Jersey during the period of time Rahal was unable to remove its cargo for delivery from the port due to factors beyond Rahal's control.

29. As alleged herein and in violation of the Shipping Act, including 46 U.S.C.S. § 41104(a)(14), Hapag assessed Rahal, for Rahal's property transported by Hapag to the Port of New York and New Jersey, for one or more charges that were inconsistent and/or that did not comply with all applicable provisions and regulations, including without limitation section 41102(c) of the Shipping Act and part 545 of title 46, Code of Federal Regulations (or successor regulations).

30. As alleged herein and in violation of the Shipping Act, including 46 U.S.C.S. § 41104(a)(15), Hapag invoiced Rahal (directly or indirectly through beneficial cargo interests or agents) for demurrage or detention charges that failed to comply with the Shipping Act, including 46 U.S.C.S. § 41104(d).

31. As alleged herein and in violation of the Shipping Act, including 46 U.S.C.S. § 41104(a)(15), Hapag invoiced Rahal (directly or indirectly through beneficial cargo interests or agents) for demurrage or detention charges that failed to comply with all provisions of part 545 of title 46, Code of Federal Regulations (or successor regulations), and applicable provisions and regulations, including the principles of the Federal Maritime Commission's final rule published on May 18, 2020, entitled

“Interpretive Rule on Demurrage and Detention Under the Shipping Act” (or successor rule).

IV (A)
FACTUAL STATEMENT

32. At all times pertinent to this Complaint, Hapag accepted Rahal’s property to be transported to the Port of New York and New Jersey by ocean common carriage.

33. At all times pertinent to this Complaint, Hapag engaged in receiving, handling, storing, and/or delivering Rahal’s property into the Port of New York and New Jersey.

**Hapag’s Recurring Failure To Provide Adequate Facilities
For Empty Containers At The Port Of New York And New Jersey**

34. At least one year prior to the events complained of herein, Hapag had failed to provide adequate facilities at and about the Port of New York and New Jersey for its customers to return empty containers (whether such customers were direct customers or beneficial cargo interests of property Hapag had carried by ocean transport).

35. By March 2021, if not earlier, Hapag had failed to provide facilities at and about the Port of New York and New Jersey to meet the capacity of the empty containers Hapag’s customers sought to return to the port.

36. As a result of Hapag’s failure to establish reasonable practices regarding the return of empty containers, Hapag had a backlog of empty containers building up in and about the Port of New York and New Jersey.

37. By no later than April 2021, if not earlier, the inadequacy of Hapag's practices and facilities (or the facilities Hapag had engaged) to handle Hapag's empty containers at the Port of New York and New Jersey was known to Hapag.

38. Notwithstanding Hapag's knowledge that it lacked sufficient practices and facilities to handle Hapag's empty containers at the Port of New York and New Jersey, it continued to accept for receipt, handling, storage, and/or delivery inbound shipments of property into the port.

39. As a result of Hapag's failure to provide adequate practices and facilities to handle and store Hapag's empty containers at the Port of New York and New Jersey, it sent at least eight vessels between March and May, 2021 to the port to collect, remove, and "sweep up" empty containers.

40. As a result of Hapag's failure to provide adequate practices and facilities to handle and store Hapag's empty containers at the Port of New York and New Jersey, it acquired, leased, and/or otherwise obtained the use of additional facilities for handling and storing Hapag's empty containers.

**Hapag Financial Reaped A Windfall From The Logistical Paralysis It Created
By Its Recurring Failure To Establish Reasonable Practices For Empty Containers**

41. Prior to April 2022, Rahal purchased various property, mostly consisting of fruit products, from overseas suppliers for delivery into the United States.

42. Rahal and/or its overseas suppliers agreed with and for Hapag to carry the fruit products in containers to be received, handled, stored, and/or delivered into and/or through the Port of New York and New Jersey.

43. In due course, Rahal received the containers carrying the fruit products, unloaded the containers, and sought to return the empty containers to Hapag at the Port of New York and New Jersey.

44. By no later than April 2022, and as in the year prior, Hapag had again failed to establish reasonable practices for the return of empty containers, and to provide adequate facilities at and about the Port of New York and New Jersey for its customers, including Rahal, to return empty containers.

45. Despite Hapag's knowledge that it had failed to establish reasonable practices regarding the return of empty containers and again failed to provide adequate facilities at and about the Port of New York and New Jersey for its customers to return such empty containers, Hapag continued to accept Rahal's goods for ocean common carriage and for receipt, handling, storage, and/or delivery into and/or through the Port of New York and New Jersey.

46. Hapag accepted Rahal's containerized goods for receipt, handling, storage, and/or delivery into and/or through the Port of New York and New Jersey at excessive ocean freight fees, which generated unprecedented profits for Hapag notwithstanding Hapag's knowledge that it lacked reasonable practices and the capacity and/or facilities to handle and store the return of such containers once emptied.

47. Despite Hapag's knowledge that it had again failed to establish reasonable practices and provide adequate facilities at and about the Port of New York and New Jersey for its customers to return empty containers, Hapag failed to advise Rahal of the backlog of empty containers again building up in and about the Port of New York and New Jersey in and around April 2022.

48. Despite Hapag's knowledge that it had again failed to establish reasonable practices and provide adequate facilities at and about the Port of New York and New Jersey for its customers to return empty containers, Hapag failed to offer to deviate or otherwise change the destination of Rahal's goods that Hapag was carrying to the Port of New York and New Jersey.

49. Despite Hapag's knowledge that it had again failed to establish reasonable practices and provide adequate facilities at and about the Port of New York and New Jersey for its customers to return empty containers, Hapag failed to provide reasonable free time to Rahal for containers Hapag transported into the Port of New York and New Jersey during the period of time whilst Hapag had failed to clear its container backlog.

50. Hapag failed to provide or send adequate, frequent, and/or sufficient vessels between April and June, 2022 to the Port of New York and New Jersey to collect, remove, and "sweep up" empty containers.

51. Hapag failed to provide adequate facilities to handle and store its empty containers at the Port of New York and New Jersey, by acquiring, leasing, or otherwise obtaining the use of additional facilities between April and June 2022.

52. As a result of the foregoing, Hapag refused to accept empty containers that Rahal (through its drayage providers) attempted to return to Hapag's facilities.

53. As a further result of the foregoing, Rahal's drayage providers were unable to utilize their chassis while such chassis were burdened with empty Hapag containers and, therefore, the drayage providers were unable to retrieve newly arrived loaded containers with Rahal's goods that Hapag had carried.

54. Rahal's drayage providers were forced to utilize their yard and/or storage space for empty Hapag containers while Hapag lacked reasonable practices, and/or the capacity and/or facilities, or was unwilling to handle and store the return of its empty containers thereby precluding Rahal's drayage providers from retrieving newly arrived loaded containers that Hapag had carried.

55. Hapag made promises to Rahal's drayage providers for an appointment-based practice for returning empty Hapag containers to Hapag's facilities at the Port of New York and New Jersey that was impracticable, inaccurate, misleading, and/or unusable.

56. Hapag breached promises it made to Rahal's drayage providers for appointments to return empty Hapag containers to Hapag's facilities at the Port of New York and New Jersey.

57. Hapag's appointment-based practice for returning empty containers was unreasonable because, *inter alia*, on some days there were no return locations offered by Hapag, the locations offered by Hapag had no available appointments, the terminal operator was not accepting containers from Hapag, or the appointments were cancelled in the course of the drayage provider's attempt to return an empty container.

58. Hapag effectively and unilaterally impounded chassis and used them as *de facto* storage platforms for Hapag's empty containers at Rahal's expense and detriment as a direct consequence of Hapag's failure to provide reasonable practices and adequate facilities to handle and store Hapag's empty containers at the Port of New York and New Jersey.

59. Rahal incurred additional expenses from its drayage providers as a result of Hapag's inability and/or refusal to accept the return of empty containers.

60. Rahal incurred additional expenses from its drayage providers as a result of Hapag's inability and/or refusal to provide assurances to drayage providers that Hapag would accept returned empty containers.

61. Rahal incurred additional expenses from its drayage providers as a result of Hapag's inability and/or refusal to establish reasonable practices regarding the return of empty containers.

62. Various drayage providers were unwilling to retrieve newly arrived Hapag containers because they, too, risked having their chassis rendered unusable whilst Hapag remained unwilling and/or unable to accept empty containers.

63. As a result of the foregoing, Hapag created logistical paralysis at the Port of New York and New Jersey during the aforementioned periods.

64. As a result of the logistical paralysis Hapag created at the Port of New York and New Jersey by its failure to establish reasonable practices regarding the return of empty containers and its inability or unwillingness to accept empty containers upon return, Rahal incurred storage, lates fees, additional drayage, and other charges, as well as demurrage and detention charges. Annexed hereto as Exhibit "1" is a true and accurate summary of the containers and storage, lates fees, additional drayage, and other charges Rahal incurred for the newly arrived loaded containers.

**Hapag's Unreasonable Practice of Charging Detention/Demurrage
For Containers Ensnarled By Hapag's Logistical Paralysis**

65. In April 2022 and through June 2022, while Hapag still lacked reasonable practices for the return of empty containers at the Port of New York and New Jersey, Hapag

continued to deliver into the port containers loaded with Rahal's fruit products for which Hapag charged detention and/or demurrage fees.

66. As a proximate result of the logistical paralysis Hapag created at the Port of New York and New Jersey, which precluded retrieval of loaded Hapag containers, Hapag charged unjust and unreasonable detention and/or demurrage charges for the newly arrived loaded containers. Annexed hereto as Exhibit "1" is a true and accurate summary of the containers and charges Hapag imposed upon Rahal for the newly arrived loaded containers.

67. Hapag failed to extend free time for Rahal's property transported by Hapag into the Port of New York and New Jersey for the duration of the logistical paralysis Hapag created at the port, which precluded retrieval of loaded Hapag containers.

68. Hapag assessed unreasonable and excessive charges against Rahal for Rahal's property transported by Hapag to the Port of New York and New Jersey for the duration of the logistical paralysis Hapag created at the port, which precluded retrieval of loaded Hapag containers.

69. The logistical paralysis Hapag created at the Port of New York and New Jersey was unique to Hapag because during the aforementioned time period, ocean common carriers other than Hapag also continued to deliver into the port containers loaded with Rahal's fruit products, which Rahal removed without delay or extra expense.

Hapag's Unreasonable Practices Caused Damage To Rahal's Fruit Products

70. Among Rahal's fruit products that Hapag continued to deliver into the Port of New York and New Jersey during the aforementioned logistical paralysis Hapag created at the port were seven full container loads of organic apple juice Hapag carried under its bill of lading numbered HLCUEUR2203EZGC0 and HLCUIZ12202BJZR5.

71. Although the containers were received at the Port of New York and New Jersey on May 15-16, 2022, pickup was unavailable until June 8, 9, 14 and 15, 2022, because of the logistical paralysis Hapag created at the port.

72. As a result of the inability to timely retrieve the containers, the apple juice underwent a fermentation process that resulted in the bins containing the apple juice swelling. The swelling resulted in added handling costs to Rahal.

73. Subsequent microbiological testing confirmed that the fermentation resulted in excessive aerobic plate, yeast, and mold counts.

74. As a result of the deterioration of the apple juice, the product could not be sold as intended or as of like kind of the apple juice when purchased. Rather than dispose of the product, Rahal undertook timely and costly efforts to sell the juice and mitigate its loss.

75. As a result of the foregoing, Rahal sustained damages in the amount no less than \$198,798.11 in connection with the damaged juice.

IV (B) **VIOLATIONS OF THE SHIPPING ACT**

76. Based upon the foregoing, Hapag failed “to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property” of Rahal, which proximately caused Rahal’s loss, in violation of the Shipping Act, including 46 U.S.C.S. § 41102(c).

77. Based upon the foregoing, in violation of the Shipping Act, including 46 U.S.C.S. §§ 41104(a)(2)(A), Hapag failed to provide services to Rahal in accordance

with its published tariffs, rules, and practices and/or such tariffs, rules, and practices were unreasonable.

78. Based upon the foregoing, in violation of the Shipping Act, including 46 U.S.C.S. §§ 41102(c) and 41104(a)(14), Hapag failed to extend free time for Rahal's property transported to the Port of New York and New Jersey for the duration of Hapag's disability and/or inability to practically tender Rahal's cargo for delivery.

79. Based upon the foregoing, in violation of the Shipping Act, including 46 U.S.C.S. §§ 41102(c) and 41104(a)(14), Hapag assessed charges in excess of its terminal costs against Rahal for Rahal's property transported to the Port of New York and New Jersey that Rahal was unable to remove from the Port due to factors beyond Rahal's control.

80. Based upon the foregoing, in violation of the Shipping Act, including 46 U.S.C.S. § 41104(a)(14), Hapag assessed Rahal for one or more charges that were inconsistent and/or did not comply with all applicable provisions and regulations, including without limitation, section 41102(c) of the Shipping Act and part 545 of title 46, Code of Federal Regulations (or successor regulations).

81. Based upon the foregoing, in violation of the Shipping Act, including 46 U.S.C.S. § 41104(a)(15), Hapag invoiced Rahal (directly or indirectly through beneficial cargo interests or agents) for demurrage or detention charges that failed to comply with the Shipping Act, including 46 U.S.C.S. § 41104(d).

82. Based upon the foregoing, in violation of the Shipping Act, including 46 U.S.C.S. § 41104(a)(15), Hapag invoiced Rahal (directly or indirectly through beneficial cargo interests or agents) for demurrage or detention charges that failed to

comply with all provisions of part 545 of title 46, Code of Federal Regulations (or successor regulations), and applicable provisions and regulations, including the principles of the final rule published on May 18, 2020, entitled “Interpretive Rule on Demurrage and Detention Under the Shipping Act” (or successor rule).

83. Hapag’s storage and demurrage charges in this action do not serve the Federal Maritime Commission’s goal to ensure that detention and demurrage act as a financial incentive to promote the efficient movement of cargo.

V **CAUSATION**

84. As set forth above, as a direct and proximate result of Hapag’s aforementioned violations of the Shipping Act, 46 U.S.C.S. § 40101, *et seq.*, Rahal has sustained actual injuries and damages.

VI **DAMAGES**

85. Rahal has sustained actual injuries and damages of at least \$715,631.83 as a direct and proximate result of Hapag’s aforementioned violations of the Shipping Act, 46 U.S.C.S. § 40101, *et seq.*

86. As a direct and proximate result of Hapag’s aforementioned violations of the Shipping Act, Hapag wrongfully and unreasonably charged Rahal \$298,911.16 for detention and/or demurrage for containers unremovable from the port whilst Hapag was unwilling and/or able to handle the return of its empty containers.

87. As a direct and proximate result of Hapag’s aforementioned violations of the Shipping Act, and whilst Hapag was unwilling and/or able to handle the return of its

empty containers at the port, Rahal incurred \$154,909.26 in additional, extra, and/or excessive haulage fees by drayage providers and \$63,013.30 for extra expenses.

88. As a direct and proximate result of Hapag's aforementioned violations of the Shipping Act, and whilst Hapag was unwilling and/or able to handle the return of its empty containers at the port, Rahal sustained actual injuries for deteriorated, spoiled, and/or otherwise unfit fruit product in the amount of \$198,798.11 (after salvage and mitigation by Rahal).

89. Pursuant to the Shipping Act, 46 U.S.C.S. § 41305, Rahal is entitled to reparations for the injuries Hapag caused to Rahal due to Hapag's aforementioned violations of the Shipping Act.

VII **PRAYER FOR RELIEF**

90. Complainant respectfully requests that Respondents be required to answer the charges made in this Complaint and that, after a hearing, the Federal Maritime Commission order Respondents:

- (i) to cease and desist from violation of the Shipping Act;
- (ii) to put in place lawful and reasonable practices;
- (iii) to pay Complainant reparations for the unlawful conduct in the sum no less than \$715,631.83, with interest and attorney's fees and any other sum the Federal Maritime Commission determines to be proper; and
- (iv) that the Federal Maritime Commission makes any further orders as it determines to be proper.

VIII
HEARING REQUESTED

91. Complainant respectfully requests oral argument/hearing on this matter, and further requests that the hearing be held in the city and state of New York, else at the offices of the Federal Maritime Commission, located at 800 North Capitol Street, N.W., Washington, D.C. 20573.

Dated: June 22, 2023
New York, NY

Respectfully submitted,

GIULIANO MCDONNELL & PERRONE, LLP

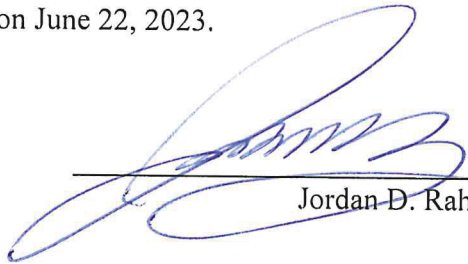
s/William M. Fennell

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Email: WFennell@GMPlawfirm.com

Attorneys for Rahal International, Inc.

VERIFICATION

I, Jordan D. Rahal, am the Secretary of Rahal International, Inc. and hereby declare and attest under penalty of perjury that I have read the foregoing Verified Complaint and believe, to the best of my knowledge, information, and belief, that the facts stated herein are true and correct. Executed on June 22, 2023.



Jordan D. Rahal

EXHIBIT B

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-05

RAHAL INTERNATIONAL, INC.,
Complainant,

v.

HAPAG-LLOYD AG,
HAPAG-LLOYD (AMERICA) LLC, HAPAG-LLOYD USA, LLC
Respondents.

VERIFIED ANSWER

Respondents Hapag-Lloyd AG (“HLAG”) Hapag-Lloyd (America) LLC (“HLA”) (together, “Hapag”) hereby answer the Complaint of Complainant Rahal International, Inc. (“Rahal”).

1. Paragraph 1 states a legal conclusion to which no response is required. To the extent a response is required, Hapag denies the allegations in Paragraph 1.

I. COMPLAINANT

2. Hapag lacks sufficient information to admit or deny the information in Paragraph 2.

II. RESPONDENTS

3. Admitted.

4. Admitted.

5. Admit that HLAG is and was at all times pertinent to the Complaint a party to Consolidated Chassis Management Pool Agreement, FMC Agreement No. 011962.
6. Denied.
7. The first sentence is admitted. The second sentence is denied.
8. Admitted.
9. Admitted.
10. Admit that HLA is and was an agent of HLAG in the United States. Deny that HLA is subject to regulation by the Federal Maritime Commission.
11. Denied.
12. Denied.
13. Paragraph 13 contains no factual allegations with respect to HLAG or HLA and thus requires no response.
14. Denied.
15. Admit that HLUSA is subject to regulation by the Federal Maritime Commission, but deny it is an agent of HLAG.
16. Admitted.
17. Paragraph 17 contains no factual allegations with respect to HLAG or HLA and thus requires no response.

18. Paragraph 18 contains no factual allegations with respect to HLAG or HLA and thus requires no response.

19. Paragraph 19 contains no factual allegations with respect to HLAG or HLA and thus requires no response.

20. Paragraph 20 contains no factual allegations with respect to HLAG or HLA and thus requires no response.

III. JURISDICTION & LEGAL AUTHORITY

21. Paragraph 21 contains no factual allegations with respect to Hapag and thus requires no response.

22. Admitted, except to the extent otherwise set forth in Affirmative Defense #6 below.

23. Admitted.

24. Admitted.

25. Admitted.

26. Paragraph 26 states a legal conclusion to which no response is required. To the extent a response is required, Hapag denies the allegations in paragraph 26.

27. Paragraph 27 states a legal conclusion to which no response is required. To the extent a response is required, Hapag denies that HLUSA and HLA did not extend free time associated with the containers, and that HLUSA and HLA were unable to tender delivery to Rahal. Admitted as to the allegation that HLAG did not extend free time before

Rahal's containers were tendered for delivery, but denies that the lack of extension was a "failure."

28. Paragraph 28 states a legal conclusion to which no response is required. To the extent a response is required, denied as to the allegation that HLA and HLUSA assessed charges against Rahal for Rahal's property transported by Hapag to the Port of New York and New Jersey during the period of time when Rahal was unable to remove its cargo, and denied as to the allegation that HLAG assessed charges that were excessive.

29. Paragraph 29 states a legal conclusion to which no response is required. To the extent a response is required, denied as to the allegation that HLA and HLUSA assessed charges against Rahal for Rahal's property transported by Hapag to the Port of New York and New Jersey, and denied as to the allegation that HLAG assessed charges that were inconsistent and/or did not comply with all applicable provisions and regulations.

30. Paragraph 30 states a legal conclusion to which no response is required. To the extent a response is required, denied as to the allegation that HLA and HLUSA invoiced Rahal for demurrage and detention charges, denied as to the allegation that the detention and demurrage charges assessed by HLAG failed to comply with the Shipping Act.

31. Paragraph 31 states a legal conclusion to which no response is required. To the extent a response is required, denied as to the allegation that HLA and HLUSA invoiced Rahal for demurrage and detention charges, and denied as to the allegation that HLAG invoiced Rahal for detention and demurrage charges that failed to comply with all provisions of part 545 of title 46, Code of Federal Regulations, and applicable provisions and

regulations, including the Commission's Interpretive Rule on Demurrage and Detention Under the Shipping Act.

IV. (A) FACTUAL STATEMENT

32. Admitted as to HLAG, denied as to HLA and HLUSA.

33. Admitted as to HLAG, denied as to HLA and HLUSA.

34. Denied.

35. Denied.

36. Denied.

37. Denied.

38. Denied as to the allegation that Hapag had knowledge that it lacked sufficient practices and facilities to handle Hapag's empty containers at the Port of New York and New Jersey. Denied as to the allegation that HLA and HLUSA continued to accept inbound shipments of property to the port. Admitted that HLAG continued to accept inbound shipments of property to the port.

39. Denied as to the allegation that Hapag failed to provide adequate practices and facilities to handle and store Hapag's empty containers at the Port of New York and New Jersey. Admitted that HLAG sent at least eight vessels between March and May 2021 to the port to collect, remove, and "sweep up" empty containers. Denied as to HLA and HLUSA.

40. Denied as to the allegation that the additional facilities acquired/leased by HLAG for handling and storing containers was a result of Hapag's failure to provide adequate practices and facilities to handle and store empty containers. Denied as to the allegation that HLA and HLUSA acquired/leased additional facilities.
41. Paragraph 41 contains no factual allegations with respect to Hapag and thus does not require a response. To the extent that a response is required, Hapag lacks sufficient information to admit or deny the allegations in paragraph 41.
42. Admitted as HLAG, denied as to HLA and HLUSA.
43. Paragraph 43 contains no factual allegations with respect to Hapag. To the extent it requires an answer, Hapag lacks sufficient information to admit or deny the information in paragraph 43.
44. Denied.
45. Denied as to the allegation that Hapag had knowledge of, or that it failed to establish, reasonable practices regarding the return of empty containers. Denied as to the allegation that Hapag failed to provide adequate facilities at the Port of New York and New Jersey for its customers to return empty containers. Denied as to the allegation that HLA and HLUSA continued to accept Rahal goods. Admitted as to the allegation that HLAG accepted Rahal's goods for ocean common carriage and for receipt, handling, storage, and/or delivery into and/or through the Port of New York and New Jersey.
46. Denied.

47. Denied.

48. Denied as to the allegation that Hapag failed to establish reasonable practices and provide adequate facilities at and about the Port of New York and New Jersey for its customers to return empty containers. Admit that HLAG did not offer to change the destination of Rahal's goods that HLAG was carrying to the Port of New York and New Jersey. Deny that HLA or HLUSA transported any Rahal goods.

49. Denied.

50. Denied.

51. Denied.

52. Denied.

53. Hapag lacks sufficient information to admit or deny the allegations in paragraph 53.

54. Hapag lacks sufficient information to admit or deny the allegations in paragraph 54.

55. Denied.

56. Denied.

57. Denied.

58. Denied.

59. Hapag lacks sufficient information to admit or deny the allegations in paragraph 59.

60. Hapag lacks sufficient information to admit or deny the allegations in paragraph 60.

61. Hapag lacks sufficient information to admit or deny the allegations in paragraph 61.

62. Hapag lacks sufficient information to admit or deny the allegations in paragraph 62.

63. Denied.

64. Denied as to the allegation that Hapag created “logistical paralysis” at the Port of New York and New Jersey or that it failed to establish reasonable practices regarding the return of empty containers. Denied as to the allegation that Rahal incurred storage, late fees, additional drayage, detention and demurrage, and other charges, due to Hapag’s unwillingness to accept empty containers upon return. Hapag lacks sufficient information to admit or deny the content of Exhibit 1, which Exhibit was not included in the version of the Complaint served on Hapag.

65. Denied as to the allegation that Hapag lacked reasonable practice to return empty containers to the Port of New York and New Jersey. Denied as to the allegation that HLA and HLUSA continued to deliver into the port containers loaded with Rahal’s fruit products for which Hapag charged detention and/or demurrage. Admitted as to the allegation that HLAG delivered Rahal’s containers into the Port.

66. Denied as to the allegation that HLA and HLUSA charged detention and/or demurrage on the newly arrived containers. Denied as to the allegation that HLAG charged unjust and unreasonable detention and demurrage charges on the newly arrived containers. Denied that Hapag created logistical paralysis at the Port of New York and New Jersey and that said paralysis precluded retrieval of loaded Hapag containers.

67. Denied as to HLA and HLUSA. Admitted as to the allegation that HLAG did not extend free time, denied as to the allegation that such a lack of extension was a “failure.”

68. Denied.

69. Hapag lacks sufficient information to admit or deny the allegations in paragraph 69. To the extent that an answer is required, Hapag denies the allegations in paragraph 69.

70. Admitted as to the allegation that the containers at issue were seven full container loads of organic apple juice HLAG carried under bills of lading numbered HLCUEUR2203EZGC0 and HLCUIZ12202BJZR5. Denied as to the allegations that HLA and HLUSA carried or delivered Rahal’s containers under bills of lading HLCUEUR2203EZGC0 and HLCUIZ12202BJZR5. Denied as to the allegation that Hapag created logistical paralysis at the Port of New York and New Jersey.

71. Admitted as to the allegation that the containers were received on May 15-16, 2022, and were available for pick up on June 8, 9, 14, 15, 2022, but denied as to the allegation that pick up was unavailable on other dates after May 15-16 and before June 8, and denied as to the allegation that pick up was unavailable due to logistical paralysis caused by Hapag.

72. Paragraph 72 contains no factual allegations with respect to Hapag and thus does not require a response. To the extent that a response is required, Hapag lacks sufficient information to admit or deny the allegations in paragraph 72.

73. Paragraph 73 contains no factual allegations with respect to Hapag and thus does not require a response. To the extent that a response is required, Hapag lacks sufficient information to admit or deny the allegations in paragraph 73.

74. Paragraph 74 contains no factual allegations with respect to Hapag and thus does not require a response. To the extent that a response is required, Hapag lacks sufficient information to admit or deny the allegations in paragraph 74.

75. Paragraph 75 contains no factual allegations with respect to Hapag and thus does not require a response. To the extent that a response is required, Hapag lacks sufficient information to admit or deny the allegations in paragraph 75.

IV(B). VIOLATIONS OF THE SHIPPING ACT

76. Paragraph 76 states a legal conclusion to which no response is required. To the extent that a response is required, Hapag denies the allegations in paragraph 76.

77. Paragraph 77 states a legal conclusion to which no response is required. To the extent that a response is required, Hapag denies the allegations in paragraph 77.

78. Paragraph 78 states a legal conclusion to which no response is required. To the extent that a response is required, denied as to HLA and HLUSA. Admitted as to the allegation that HLAG did not extend free time, but denied as to the allegation that such a lack of extension was a “failure.”

79. Paragraph 78 states a legal conclusion to which no response is required. To the extent that a response is required, denied as to HLA and HLUSA. Hapag lacks sufficient information to admit or deny whether Rahal was unable to remove property from the Port due to factors beyond Rahal’s control. Admitted as to the allegation that HLAG assessed charges that were in excess of its terminal costs against Rahal for property transported to the Port of New York and New Jersey.

80. Paragraph 80 states a legal conclusion to which no response is required. To the extent that a response is required, denied as to HLA and HLUSA. Admitted that Hapag-Lloyd (AG) assessed charges against Rahal, but denied as to the allegation that such charges were inconsistent and/or did not comply with all applicable provisions or regulations.

81. Paragraph 81 states a legal conclusion to which no response is required. To the extent that a response is required, denied that Hapag invoiced Rahal for detention and demurrage, and denied as to the allegation that charges assessed to Rahal failed to comply with the Shipping Act.

82. Paragraph 82 states a legal conclusion to which no response is required. To the extent that a response is required, denied as to HLA and HLUSA. Admitted that HLAG invoiced Rahal for detention and demurrage, but denied as to the allegation that such charges failed to comply with part 545 of the Code of Federal Regulations and applicable provisions and regulations, including the Interpretive Rule on Demurrage and Detention Under the Shipping Act.

83. Denied.

V. CAUSATION

84. Paragraph 84 states a legal conclusion to which no response is required. To the extent that a response is required, Hapag denies the allegations in paragraph 84.

VI. DAMAGES

85. Paragraph 85 states a legal conclusion to which no response is required. To the extent that a response is required, Hapag denies the allegations in paragraph 85.

86. Paragraph 86 states a legal conclusion to which no response is required. To the extent that a response is required, Hapag denies the allegations in paragraph 86.

87. Paragraph 87 states a legal conclusion to which no response is required. To the extent that a response is required, Hapag denies the allegations in paragraph 87.

88. Paragraph 88 states a legal conclusion to which no response is required. To the extent that a response is required, Hapag denies the allegations in paragraph 88.

Paragraph 89 states a legal conclusion to which no response is required. To the extent that a response is required, Hapag denies the allegations in paragraph 89.

VII. AFFIRMATIVE DEFENSES

1. The Complaint fails to state a claim upon which relief may be granted in that the conduct which is subject to the complaint was not performed by HLA or HLUSA.
2. The Complaint fails to state a claim upon which relief may be granted in that any failure to permit the return of empty containers and/or to allow for the pick up of Complainant's loaded containers was due to the act(s) or omission(s) of the relevant marine terminal operator(s).

3. The Complaint fails to state a claim upon which relief may be granted to the extent that demurrage charges were assessed, collected and/or retained by a marine terminal operator.
4. The Complaint fails to join necessary parties, i.e., the relevant marine terminal operators.
5. The Commission lacks personal jurisdiction over HLA.
6. The Commission lacks subject matter jurisdiction over Complainant's claim for cargo loss or damage.
7. Complainant failed to mitigate its damages.
8. Complainant caused, contributed to, and/or knowing and willfully assumed the risk of, delays and charges by engaging Hapag to transport cargo to a port Complainant knew to be congested.

VIII. PRAYER FOR RELIEF

WHEREFORE, Respondent respectfully requests that the Complaint be dismissed with prejudice.



Wayne Rohde
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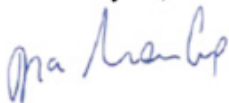
VERIFICATION

VERIFICATION OF RESPONDENT HAPAG-LLOYD AG

Thomas Mansfeld hereby verifies as follows:

1. I am General Counsel of Hapag-Lloyd AG.
2. I am authorized to make this verification on behalf of Hapag-Lloyd AG.
3. I hereby verify that the facts contained in the foregoing answer and affirmative defenses are true and correct to the best of my knowledge, information, and belief.
4. I verify the foregoing under penalty of perjury under the laws of the United States.

Dated: July 31, 2023



Name: Thomas Mansfeld

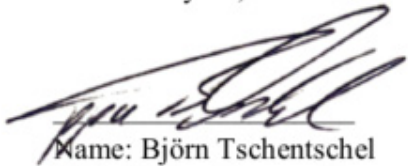
Title: General Counsel

VERIFICATION OF RESPONDENT HAPAG-LLOYD AG

Björn Tschentschel hereby verifies as follows:

1. I am Senior Director Tax of Hapag-Lloyd AG.
2. I am authorized to make this verification on behalf of Hapag-Lloyd AG.
3. I hereby verify that the facts contained in the foregoing answer and affirmative defenses are true and correct to the best of my knowledge, information, and belief.
4. I verify the foregoing under penalty of perjury under the laws of the United States.

Dated: July 31, 2023

A handwritten signature in black ink, appearing to read 'Björn Tschentschel', is written over a horizontal line.

Name: Björn Tschentschel

Title: Senior Director Tax

VERIFICATION OF RESPONDENT HAPAG-LLOYD (AMERICA) LLC

Andreas Brauch, hereby verifies as follows:

1. I am SVP Business Admin. & Finance of Hapag-Lloyd (America) LLC.
2. I am authorized to make this verification on behalf of Hapag-Lloyd (America) LLC.
3. I hereby verify that the facts contained in the foregoing answer and affirmative defenses are true and correct to the best of my knowledge, information, and belief.
4. I verify the foregoing under penalty of perjury under the laws of the United States.

Dated: August 1, 2023



Name: Andreas Brauch

Title: SVP Business Admin. & Finance

CERTIFICATE OF SERVICE

I certify that, on August 1, 2023, a true and current copy of the foregoing Answer was filed via electronic mail with the Secretary of the Federal Maritime Commission, and a copy was served via electronic mail on the following counsel:

William M. Fennell, Esq. (WFennell@GMPLawfirm.com)

Counsel for Rahal International, Inc.

/s/ Wayne Rohde

Wayne Rohde

Dated: August 1, 2023